

Quant Signal Upgrade -- Improving Momentum and Attractive Yield Profile

VZ | Verizon Communications Inc. | Telecommunications

Analyst: David Kim

Type: Quant Signal Change

Rating: Overweight (Upgrade)

Conviction: Medium

Price Target: \$48

Our quantitative model has generated an UPGRADE signal for Verizon Communications, moving from Neutral to Overweight. This note summarizes the signal drivers and our fundamental assessment.

Signal Drivers:

Composite alpha score improved to +1.4 from +0.3 over the past 4 weeks. The primary drivers are: (1) Momentum score flipped positive to +0.8 as the stock broke above its 200-day moving average for the first time in 9 months, (2) Sentiment score improved to +0.6 following two consecutive quarters of wireless subscriber beats, and (3) Value score remains elevated at +1.9, supported by a 6.8% dividend yield and 8.2x forward P/E.

Fundamental Overlay:

The quant signal aligns with improving fundamentals. Wireless net adds have stabilized, with Q4 2025 postpaid phone net adds of 568K (vs. consensus 490K). Fixed wireless access (FWA) subscribers reached 4.8 million, with the 5G home internet product gaining traction in underserved markets. Debt reduction remains on track, with net leverage declining to 2.4x from 2.8x a year ago.

Income Strategy Relevance:

For the Absolute Return Income Strategy, VZ offers an attractive combination of high current yield (6.8%), improving fundamental trajectory, and low beta (0.45). We recommend increasing the position from 4.1% to 5.0% of portfolio weight.

Quant composite rank: #35 (from #112). This is one of the largest rank improvements in our coverage universe over the past month.

Upgrading to Overweight with Medium conviction. Price target \$48 based on 9.5x 2027E EV/EBITDA, a modest premium to historical average reflecting improved growth visibility.